

Labour migration



Labour migration is an important facet of the development of markets. When countries industrialize, workers move from rural to urban areas, attracted by the higher wages offered by industrial enterprises. A similar phenomenon happens internationally: huge numbers of migrants flowed to the New World during the 19th century and international migration has remained important ever since. As with internal migration, economists stress the role of wage gaps between different countries in generating international migration: migrants flow from low-wage to high-wage countries. Eventually one might see a levelling off, if wages begin to equalize across countries. In practice, migration is a far more complex phenomenon than simple economic models suggest. All sorts of cultural and social factors are involved, and the issue has become highly politicized. Nevertheless, even basic economics can be useful here, if only to

remind us that labour migration is as much a part of the logic of globalization as the expansion of international markets for goods and finance.